

Alchip Technologies

Stronger Trn3 ramp, more confident on Trn4, and an optionality in Google TPU; Raise PT to NT\$6,750

We raise our FY27-28E EPS estimates by 3%/16% and our Jun-27 PT to NT\$6,750 (25x 12m forward earnings), reflecting upside to Trainium 3 shipments in 2027, stronger ramp with more involvement from Alchip for Trn4 in 2028, and the potential optionality to gain some turnkey work in the upcoming Google TPUv10. In 2026 and 2027, we expect Alchip's revenue potential to be largely constrained by supply and are now expecting Trn3 revenues to grow 65% in 2027 (better than 56% prior). Looking into 2028, Alchip's management sounded more confident on its extent of involvement in Trn4 design, which could drive a meaningful step-up in AWS revenues in 2028 (we expect AWS revenues to grow ~100% in 2028). In addition, Alchip appears to be confident of keeping GMs above 20% levels in the next few quarters, despite rising turnkey production revenues, while OP margins are likely to remain in the mid-to-high teens into 2028, given strong operating leverage. In addition, Google's pursuit of COT (Customer Owned Tooling) is bringing more opportunities to pure design service vendors such as GUC and Alchip in the TPUv10, which is an upside optionality in 2029-30. Our pecking order within the ASIC space is now Mediatek = Alchip > GUC, while we are OW on all 3 vendors due to strong growth in the next 2 years.

- **Trn3 ramp appears stronger into 2027, supply remains the primary constraint:** Alchip's revenue picked up strongly in July, with Trainium 3 ramping smoothly after successfully entering MP in late May. We expect continued strong monthly revenue growth in August and sustained elevated revenue through 2H26 and into 1H27. We now believe Trainium 3 can ramp stronger than our prior estimate, reaching US\$2.8bn in 2027 (vs. prior US \$2.5bn), up from our 2026 estimate of US\$1.7bn. Supply—across wafers, CoWoS, and substrates—remains the key constraint for further upside.
- **Trn4 design progressing well; Alchip appears in the driver's seat, with involvement in I/O chiplets, along with back-end design for Compute:** Trainium 4 appears on track to tape out by end-2026 and enter MP by end-2027, with Alchip remaining the sole back-end design supplier. Notably, given the tight schedule, Alchip appears to be leading all design workstreams—compute back-end, I/O die, and integration—while any alternative interconnect solutions from other vendors would likely come only at a much later stage and in smaller volumes of Trainium 4, in our view. We therefore believe Alchip's volume share in Trainium 4 could end up being stronger than in prior generations, with ASP also stepping up meaningfully (2–3x vs. Trainium 3, in our view). This leads our 2028 revenue and earnings estimates to ~40% above current consensus. At this point, we believe Trn4 revenue is likely to be capped by AWS wafer allocation decisions (in-house vs. through Alchip) and Alchip's ability to fund working capital for wafer orders with long cycle times.
- **Gross margins staying above 20% despite the strong turnkey ramp; OP margins to remain in the mid-to-high teens due to operating leverage:** Alchip's guidance for gross margins to remain above 20% in 2H26 was a major near-term positive surprise versus both consensus and our expectations of high teens percentage point. Longer term, we expect gross margins to trend lower as turnkey revenue continues to increase as a proportion of sales, especially for

Overweight

3661.TW, 3661 TT

Price (14 Aug 26): NT\$4,210.00

▲ **Price Target (Jun-27): NT\$6,750.00**

Prior (Jun-27): NT\$6,000.00

Technology and Telecoms

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 27E (NT\$ mn)	119,944	126,231	5.2%

Quarterly Forecasts (FYE Dec)

Revenue (NT\$ mn)	2025A	2026E	2027E
Q1	10,485	4,187A	40,240
Q2	9,144	7,640A	32,788
Q3	6,570	26,434	26,981
Q4	4,727	43,822	26,221
FY	30,926	82,082	126,231

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	26	26	43	59	93
Growth	17	10	6	6	49
Momentum	79	57	16	6	88
Quality	54	37	35	57	36
Low Vol	83	95	93	100	99

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	19.9%	13.0%	-12.8%	-0.9%
Rel	-38.3%	10.6%	-22.6%	-89.9%

Company Data

Shares O/S (mn)	74
52-week range (NT\$)	5,640.00-2,480.00
Market cap (\$ mn)	9,738
Exchange rate	32.03
Free float (%)	90.8%
3M ADV (mn)	2.11
3M ADV (\$ mn)	269.5
Volatility (90 Day)	78
Index	TAIEX
BBG ANR (Buy Hold Sell)	20 1 0

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	30,926	82,082	126,231	221,721
Adj. EBIT	5,017	14,723	20,904	31,565
Adj. EBITDA	8,077	17,453	23,905	35,114
Adj. net income	5,598	13,885	18,471	27,662
Adj. EPS	69.09	171.12	218.62	322.45
BBG EPS	66.33	139.96	183.08	250.64
Cashflow from operations	17,541	(7,712)	30,926	7,764
FCFF	13,257	(10,842)	26,823	2,664
Margins and Growth				
Revenue Growth Y/Y (%)	(40.5%)	165.4%	53.8%	75.6%
EBIT margin	16.2%	17.9%	16.6%	14.2%
EBIT Growth Y/Y (%)	(22.8%)	193.5%	42.0%	51.0%
EBITDA margin	26.1%	21.3%	18.9%	15.8%
EBITDA Growth Y/Y (%)	(11.6%)	116.1%	37.0%	46.9%
Net margin	18.1%	16.9%	14.6%	12.5%
Adj. EPS growth	(15.0%)	147.7%	27.8%	47.5%
Ratios				
Adj. tax rate	16.7%	15.2%	17.5%	16.7%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	14.0%	24.8%	24.2%	30.6%
Valuation				
FCFF yield	3.9%	(3.2%)	7.5%	0.7%
Dividend yield	0.9%	0.8%	1.8%	2.5%
EV/Revenue	16.4	6.1	4.0	2.3
EV/EBITDA	62.9	28.8	21.1	14.8
Adj. P/E	60.9	24.6	19.3	13.1

Summary Investment Thesis and Valuation

Investment Thesis

We are OW on Alchip given strong growth in Trn3, growing confidence in Trn4 design involvement, and gross margin staying at 20% levels with solid operating leverage. We expect Alchip's revenue potential to be largely constrained by supply and are now expecting Trn3 revenues to grow 65% in 2027. Looking into 2028, Alchip's management sounded more confident on its extent of involvement in Trn4 design, which could drive a meaningful step-up in AWS revenues in 2028. On margins, Alchip appears to be confident of keeping GMs above 20% levels in the next few quarters, despite rising turnkey production revenues, while OP margins are likely to remain elevated into 2028, given strong operating leverage. In addition, Google's pursuit of COT (Customer Owned Tooling) is bringing more opportunities to pure design service vendors in the TPUv10, which is an upside optionality in 2029-30.

Valuation

Our Jun-27 PT of NT\$6,750 is based on a 25x 12-month forward P/E. The multiple is lower than the historical five-year average multiple.

Performance Drivers

Market	33%
Region	12%
Macro	17%
Style	2%
Idiosyn.	36%

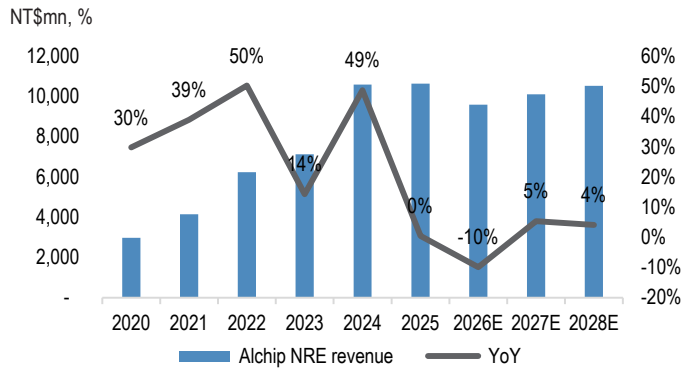
Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.64	0.57
Region: Taiwan	0.60	0.43
Macro:		
JPM China A-shares Sentiment	0.52	0.42
Generic 1st 'CO' Future	-0.37	-0.32
Markit EM Composite PMI SA	0.31	0.22
Quant Styles:		
Growth	0.32	0.23
Value	-0.34	-0.20
DivYld	-0.32	-0.20

relatively expensive ASICs such as Trainium 4. However, supported by strong operating leverage, we forecast operating margins to remain in the mid-to-high teens through 2026–28, driving an operating profit CAGR of 46%.

- **Google's CoT approach creates more turnkey opportunities in TPU v10, similar to GUC:** On the earnings call, management highlighted a potential second customer win in the near term. This is similar to GUC's recent commentary, and we believe this refers to Google TPU v10, as Google appears to be pursuing a CoT model very aggressively and in discussions with multiple ASIC vendors at the RFQ stage under different business models. Our current research indicates MediaTek is likely to be the primary back-end partner for the main TPUv10 project (under the current semi-CoT model), there could be scope for others such as Alchip or GUC to participate in portions of the program (such as back-end design, turnkey production of the compute die, or work on a different TPU SKU using 3rd party SerDes IP, etc.). Although revenue would not materialize before 2029, any confirmation would be a meaningful catalyst for the stock, given the project scale and the long-awaited diversification away from a single large customer.
- **ADAS chip ramp stronger; new ARM CPU customers coming through:** Alchip's ADAS chip experienced some disruption over the past two months but has returned to normal production, with the ramp now tracking ahead of expectations and annual revenue of US\$200–300mn expected in 2026 and 2027. The next-generation and following-generation designs are on track to tape out by end-2026 and 1H27, per our checks. In addition, Alchip disclosed successful MP for its ARM CPU customers (one server CPU and one consumer CPU). While we do not believe these are top US CSPs, they still represent a meaningful revenue contributor and a proof of capability in CPU design amid the current agentic AI trend.

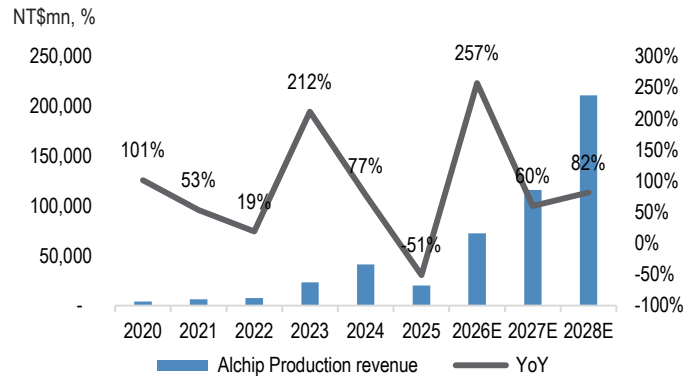
Key charts

Figure 1: Alchip NRE revenue and YoY trend



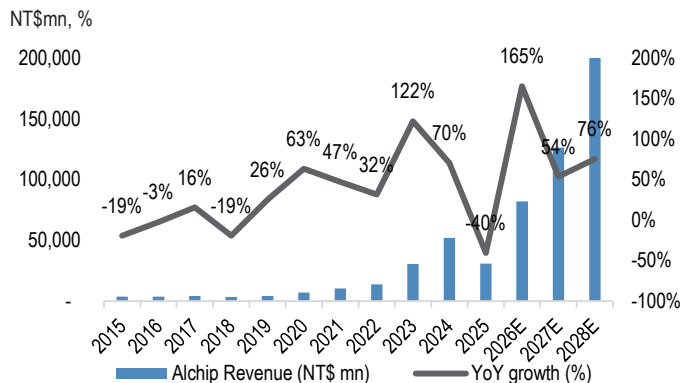
Source: Company data, J.P. Morgan estimates.

Figure 2: Alchip production revenue and YoY trend



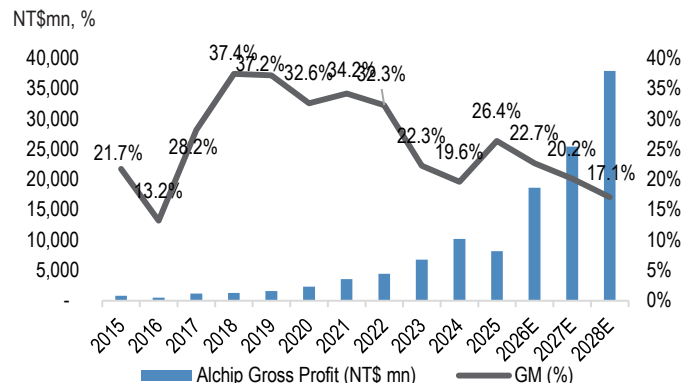
Source: Company data, J.P. Morgan estimates.

Figure 3: Alchip revenue and YoY trend



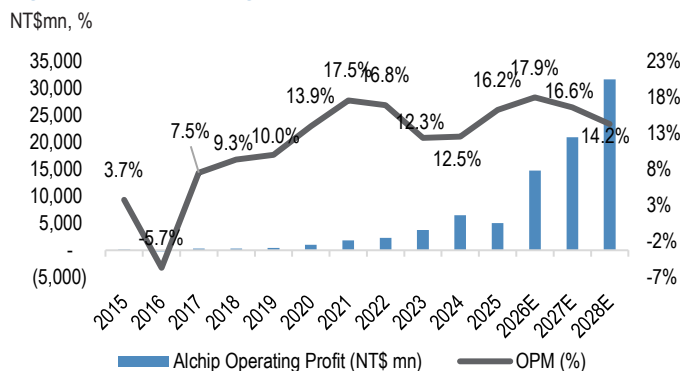
Source: Company data, J.P. Morgan estimates.

Figure 4: Alchip gross profit and GM



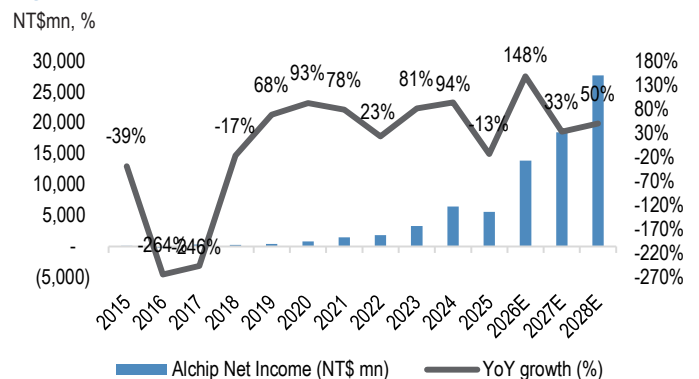
Source: Company data, J.P. Morgan estimates.

Figure 5: Alchip operating profit and OPM



Source: Company data, J.P. Morgan estimates.

Figure 6: Alchip net income and YoY trend



Source: Company data, J.P. Morgan estimates.

Earnings review

Table 1: Alchip 2Q26 earnings review

NT\$ million	2Q26			Variance		Growth	
	Actual	JPMe	BBG	vs. JPMe	vs. Consensus	Q/Q	Y/Y
Revenues	7,640	7,518	9,192	2%	-17%	82%	-16%
Gross profit	2,662	2,916	2,855	-9%	-7%	27%	41%
GM (%)	34.8%	38.8%	31.1%	-394 bps	378 bps	-1533 bps	1421 bps
Operating profit	1,647	1,939	1,992	-15%	-17%	20%	43%
OPM (%)	21.6%	25.8%	21.7%	-423 bps	-12 bps	-1111 bps	898 bps
Pretax profit	2,035	2,203	2,286	-8%	-11%	14%	27%
Net profit	1,639	1,765	1,894	-7%	-13%	15%	24%
EPS (NT\$)	20.10	21.65	23.23	-7%	-13%	14%	23%

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Forecast changes

Table 2: Alchip quarterly estimate revisions

NT\$ million	Revised			Prior			Change (%)		
	3Q26E	4Q26E	1Q27E	3Q26E	4Q26E	1Q27E	3Q26E	4Q26E	1Q27E
Revenues (NT\$ in mn)	26,434	43,822	40,240	25,878	44,086	37,233	2%	-1%	8%
Gross profit	5,302	8,560	7,536	5,037	8,175	6,929	5%	5%	9%
GM (%)	20.1%	19.5%	18.7%	19.5%	18.5%	18.6%	59bps	99bps	12bps
Operating profit	4,245	7,464	6,410	4,002	7,073	5,887	6%	6%	9%
OPM (%)	16.1%	17.0%	15.9%	15.5%	16.0%	15.8%	59bps	99bps	12bps
Pretax profit	4,723	7,838	6,740	4,224	7,326	6,103	12%	7%	10%
Net profit	3,767	7,052	5,493	3,370	6,591	4,975	12%	7%	10%
EPS (NT\$)	43.76	78.27	60.97	41.33	77.06	58.16	6%	2%	5%
Operating Assumptions									
NRE revenue	1,986	3,973	2,384	3,429	4,801	3,841	-42%	-17%	-38%
Production revenue	24,447	39,849	37,857	22,449	39,286	33,393	9%	1%	13%
NRE GM	70.0%	65.0%	70.0%	50.0%	50.0%	50.0%	2,000bps	1,500bps	2,000bps
Production GM	16.0%	15.0%	15.5%	14.8%	14.7%	15.0%	120bps	30bps	50bps

Source: J.P. Morgan estimates.

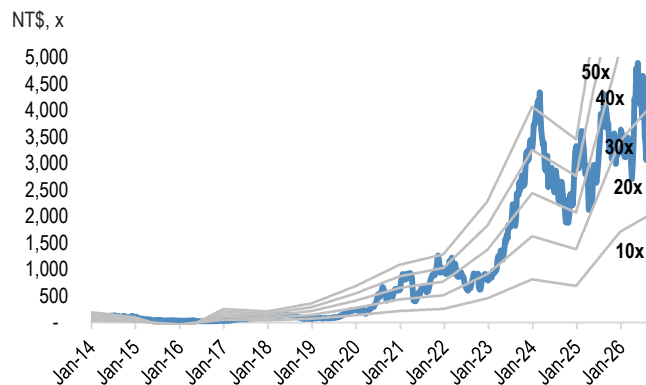
Table 3: Alchip annual estimate revisions

NT\$ million	Revised			Prior			Change (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues (NT\$ in mn)	82,082	126,231	221,721	81,669	119,944	163,781	1%	5%	35%
Gross profit	18,624	25,438	37,887	18,229	24,403	31,469	2%	4%	20%
GM (%)	22.7%	20.2%	17.1%	22.3%	20.3%	19.2%	37bps	-19bps	-213bps
Operating profit	14,723	20,904	31,565	14,381	20,091	26,355	2%	4%	20%
OPM (%)	17.9%	16.6%	14.2%	17.6%	16.8%	16.1%	33bps	-19bps	-186bps
Pretax profit	16,379	22,381	33,204	15,537	21,124	27,656	5%	6%	20%
Net profit	13,885	18,471	27,662	13,154	17,449	23,111	6%	6%	20%
EPS (NT\$)	171.12	218.62	322.45	163.01	212.07	278.69	5%	3%	16%
Operating Assumptions									
NRE revenue	9,597	10,117	10,539	12,978	18,753	23,338	-26%	-46%	-55%
Production revenue	72,485	116,114	211,182	68,691	101,191	140,443	6%	15%	50%
NRE GM	70.3%	68.7%	67.1%	57.7%	48.4%	44.4%	1,261bps	2,028bps	2,273bps
Production GM	16.4%	15.9%	14.6%	15.6%	15.1%	15.0%	75bps	78bps	-44bps

Source: J.P. Morgan estimates.

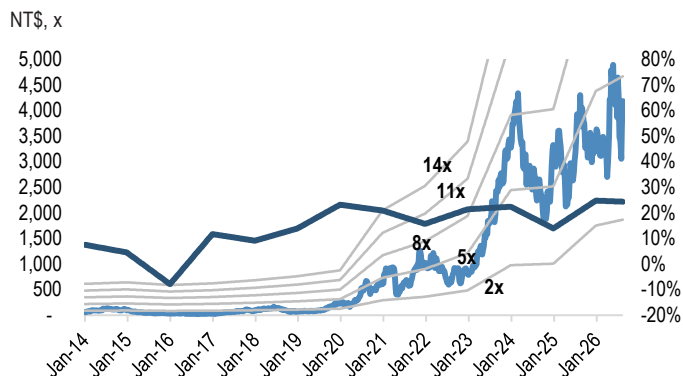
P/E and P/B charts

Figure 7: Alchip 12M forward P/E



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 8: Alchip 12M forward P/B and ROE



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Table 4: Alchip earnings model

NT\$ in millions, year-end December	FY25				FY26E				FY27E				FY28E				FY25	FY26E	FY27E	FY28E
	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Sales	10,485	9,144	6,570	4,727	4,187	7,640	26,434	43,822	40,240	32,788	26,981	26,221	32,973	48,617	67,600	72,532	30,926	82,082	126,231	221,721
COGS	-8,056	-7,257	-4,729	-2,730	-2,086	-4,978	-21,132	-35,262	-32,704	-26,140	-21,184	-20,764	-26,714	-40,050	-56,394	-60,676	-22,772	-63,457	-100,793	-183,834
Gross profit	2,429	1,887	1,841	1,997	2,101	2,662	5,302	8,560	7,536	6,648	5,797	5,457	6,259	8,567	11,206	11,856	8,154	18,624	25,438	37,887
Operating expense	934	737	684	782	733	1,015	1,057	1,096	1,127	1,148	1,079	1,180	1,220	1,459	1,758	1,886	-3,138	-3,901	-4,534	-6,322
SG&A	468	243	231	365	225	414	397	438	402	426	405	393	330	486	676	653	-1,306	-1,474	-1,627	-2,145
R&D	467	494	453	417	508	601	661	657	724	721	675	787	890	972	1,082	1,233	-1,831	-2,427	-2,907	-4,177
Operating (EBIT)	1,494	1,150	1,157	1,215	1,368	1,647	4,245	7,464	6,410	5,500	4,718	4,277	5,039	7,108	9,448	9,970	5,017	14,723	20,904	31,565
Net interest income (expense)	329	410	427	418	366	381	452	330	330	343	357	446	475	429	345	389	1,583	1,528	1,476	1,638
Net other income (expense)	-30	40	7	103	50	8	26	44	0	0	0	0	0	0	0	0	120	128	0	0
Pre-tax profit	1,793	1,599	1,591	1,737	1,784	2,035	4,723	7,838	6,740	5,843	5,074	4,723	5,514	7,537	9,793	10,359	6,720	16,379	22,381	33,204
Tax credit (expense)	332	277	265	250	357	397	956	787	1,247	1,163	1,027	474	1,020	1,501	1,983	1,040	1,124	2,497	3,912	5,544
Net profit	1,464	1,324	1,328	1,483	1,428	1,639	3,767	7,052	5,493	4,680	4,048	4,250	4,494	6,037	7,811	9,320	5,598	13,885	18,471	27,662
Adjusted O/S (B)	81	81	81	81	81	82	86	90	90	90	90	90	90	90	90	90	81	81	84	86
FD EPS (NT\$)	18.10	16.35	16.39	18.25	17.56	20.10	43.76	78.27	60.97	51.95	44.93	47.17	49.89	67.01	86.70	103.45	69.09	171.12	218.62	322.45
Key metrics																				
NRE revenue	3,355	1,829	2,628	2,836	2,110	1,528	1,986	3,973	2,384	2,503	2,753	2,478	2,106	2,317	2,780	3,336	10,648	9,597	10,117	10,539
Production revenue	7,130	7,315	3,942	1,891	2,077	6,112	24,447	39,849	37,857	30,285	24,228	23,744	30,867	46,300	64,820	69,196	20,278	72,485	116,114	211,182
Margins (%)																				
Gross	23.2	20.6	28.0	42.3	50.2	34.8	20.1	19.5	18.7	20.3	21.5	20.8	19.0	17.6	16.6	16.3	26.4	22.7	20.2	17.1
Operating	14.3	12.6	17.6	25.7	32.7	21.6	16.1	17.0	15.9	16.8	17.5	16.3	15.3	14.6	14.0	13.7	16.2	17.9	16.6	14.2
Pre-tax profit	17.1	17.5	24.2	36.7	42.6	26.6	17.9	17.9	16.7	17.8	18.8	18.0	16.7	15.5	14.5	14.3	21.7	20.0	17.7	15.0
Net	14.0	14.5	20.2	31.4	34.1	21.4	14.3	16.1	13.7	14.3	15.0	16.2	13.6	12.4	11.6	12.8	18.1	16.9	14.6	12.5
Growth (% Q/Q)																				
Sales	-20	-13	-28	-28	-11	82	246	66	-8	-19	-18	-3	26	47	39	7				
Gross profit	-12	-22	-2	9	5	27	99	61	-12	-12	-13	-6	15	37	31	6				
EBIT	-15	-23	1	5	13	20	158	76	-14	-14	-14	-9	18	41	33	6				
Net profit	-20	-10	0	12	-4	15	130	87	-22	-15	-14	5	6	34	29	19				
EPS	-21	-10	0	11	-4	14	118	79	-22	-15	-14	5	6	34	29	19				
Growth (% Y/Y)																				
Sales	(0)	(33)	(56)	(64)	(60)	(16)	302	827	861	329	2	(40)	(18)	48	151	177	(40)	165	54	76
Gross profit	23	(27)	(36)	(28)	(14)	41	188	329	259	150	9	(36)	(17)	29	93	117	(20)	128	37	49
EBIT	23	(30)	(38)	(31)	(8)	43	267	514	369	234	11	(43)	(21)	29	100	133	(23)	193	42	51
Net profit	19	(17)	(26)	(19)	(2)	24	184	375	285	186	7	(40)	(18)	29	93	119	(13)	148	33	50
EPS	15	(18)	(27)	(21)	(3)	23	167	329	247	159	3	(40)	(18)	29	93	119	(15)	148	28	47

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Alchip Technologies *(Overweight; Price Target: NT\$6,750.00)*

Investment Thesis

We are OW on Alchip given strong growth in Trn3, growing confidence in Trn4 design involvement, and gross margin staying at 20% levels with solid operating leverage. We expect Alchip's revenue potential to be largely constrained by supply and are now expecting Trn3 revenues to grow 65% in 2027. Looking into 2028, Alchip's management sounded more confident on its extent of involvement in Trn4 design, which could drive a meaningful step-up in AWS revenues in 2028. On margins, Alchip appears to be confident of keeping GMs above 20% levels in the next few quarters, despite rising turnkey production revenues, while OP margins are likely to remain elevated into 2028, given strong operating leverage. In addition, Google's pursuit of COT (Customer Owned Tooling) is bringing more opportunities to pure design service vendors in the TPUv10, which is an upside optionality in 2029-30.

Valuation

Our Jun-27 PT of NT\$6,750 is based on a 25x 12-month forward P/E. The multiple is lower than the historical five-year average multiple.

Risks to Rating and Price Target

Key downside risks include: (1) potential share dilution from new share issuance to replenish working capital for this N3 project; and (2) shipment restrictions on the Li Auto Autonomous Driving project.

Alchip Technologies: Summary of Financials

Income Statement - Annual					Income Statement - Quarterly				
	FY24A	FY25A	FY26E	FY27E		1Q26A	2Q26A	3Q26E	4Q26E
Revenue	51,969	30,926	82,082	126,231	Revenue	4,187	7,640	26,434	43,822
COGS	(41,768)	(22,772)	(63,457)	(100,793)	COGS	(2,086)	(4,978)	(21,132)	(35,262)
Gross profit	10,201	8,154	18,624	25,438	Gross profit	2,101	2,662	5,302	8,560
SG&A	(1,563)	(1,306)	(1,474)	(1,627)	SG&A	(225)	(414)	(397)	(438)
Adj. EBITDA	9,140	8,077	17,453	23,905	Adj. EBITDA	2,060	2,341	4,912	8,141
D&A	(2,644)	(3,061)	(2,730)	(3,001)	D&A	(692)	(694)	(667)	(677)
Adj. EBIT	6,496	5,017	14,723	20,904	Adj. EBIT	1,368	1,647	4,245	7,464
Net Interest	1,194	1,583	1,528	1,476	Net Interest	366	381	452	330
Adj. PBT	7,808	6,720	16,379	22,381	Adj. PBT	1,784	2,035	4,723	7,838
Tax	(1,362)	(1,124)	(2,497)	(3,912)	Tax	(357)	(397)	(956)	(787)
Minority Interest	(1)	2	3	3	Minority Interest	1	1	1	1
Adj. Net Income	6,446	5,598	13,885	18,471	Adj. Net Income	1,428	1,639	3,767	7,052
Reported EPS	81.33	69.09	171.12	218.62	Reported EPS	17.56	20.10	43.76	78.27
Adj. EPS	81.33	69.09	171.12	218.62	Adj. EPS	17.56	20.10	43.76	78.27
DPS	22.20	39.77	34.31	77.68					
Payout ratio	48.6%	48.9%	49.7%	45.4%					
Shares outstanding	79	81	81	84	Shares outstanding	81	82	86	90
Balance Sheet & Cash Flow Statement					Ratio Analysis				
	FY24A	FY25A	FY26E	FY27E		FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	29,428	38,882	57,443	82,694	Gross margin	19.6%	26.4%	22.7%	20.2%
Accounts receivable	6,138	3,254	14,407	9,195	EBITDA margin	17.6%	26.1%	21.3%	18.9%
Inventories	8,661	6,945	38,643	22,755	EBIT margin	12.5%	16.2%	17.9%	16.6%
Other current assets	1,958	3,976	5,843	2,331	Net profit margin	12.4%	18.1%	16.9%	14.6%
Current assets	46,184	53,057	116,336	116,976					
PP&E	1,775	1,680	784	668	ROE	22.4%	14.0%	24.8%	24.2%
LT investments	1,600	2,204	2,819	2,819	ROA	15.6%	10.3%	15.5%	15.3%
Other non current assets	750	1,098	862	862	ROCE	18.7%	10.4%	20.1%	19.0%
Total assets	50,309	58,039	120,801	121,325	SG&A/Sales	3.0%	4.2%	1.8%	1.3%
					Net debt/equity	NM	NM	NM	NM
Short term borrowings	0	0	0	0					
Payables	1,826	1,986	15,457	9,102	P/E (x)	51.8	60.9	24.6	19.3
Other short term liabilities	8,845	14,988	21,911	13,111	P/BV (x)	8.5	8.4	4.8	4.4
Current liabilities	10,672	16,975	37,368	22,213	EV/EBITDA (x)	55.3	62.9	28.8	21.1
Long-term debt	0	0	12,000	17,000	Dividend Yield	0.5%	0.9%	0.8%	1.8%
Other long term liabilities	161	240	293	357					
Total liabilities	10,833	17,214	49,661	39,570	Sales/Assets (x)	1.3	0.6	0.9	1.0
Shareholders' equity	39,456	40,805	71,122	81,737	Interest cover (x)	NM	NM	NM	NM
Minority interests	21	19	18	18	Operating leverage	103.2%	56.2%	117.0%	78.1%
Total liabilities & equity	50,309	58,039	120,801	121,325					
BVPS	497.81	503.62	876.50	967.40	Revenue y/y Growth	70.5%	(40.5%)	165.4%	53.8%
y/y Growth	101.2%	1.2%	74.0%	10.4%	EBITDA y/y Growth	58.1%	(11.6%)	116.1%	37.0%
Net debt/(cash)	(29,428)	(38,882)	(45,443)	(65,694)	Tax rate	17.4%	16.7%	15.2%	17.5%
					Adj. Net Income y/y Growth	93.8%	(13.1%)	148.0%	33.0%
Cash flow from operating activities	4,040	17,541	(7,712)	30,926	EPS y/y Growth	78.1%	(15.0%)	147.7%	27.8%
o/w Depreciation & amortization	2,644	3,061	2,730	3,001	DPS y/y Growth	70.5%	79.2%	(13.7%)	126.4%
o/w Changes in working capital	(5,050)	8,884	(24,325)	9,456					
Cash flow from investing activities	(3,727)	(3,917)	(2,214)	(2,885)					
o/w Capital expenditure	(3,259)	(2,965)	(1,835)	(2,885)					
as % of sales	6.3%	9.6%	2.2%	2.3%					
Cash flow from financing activities	14,979	(4,170)	28,487	(2,789)					
o/w Dividends paid	(1,790)	(3,233)	(2,797)	(6,998)					
o/w Net debt issued/(repaid)	0	0	12,000	5,000					
Net change in cash	15,292	9,454	18,561	25,252					
Adj. Free cash flow to firm	(204)	13,257	(10,842)	26,823					
y/y Growth	(103.2%)	(6592.5%)	(181.8%)	(347.4%)					

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Companies Discussed in This Report (all prices in this report as of market close on 14 August 2026, unless otherwise indicated)
GUC(3443.TW/NT\$5,465.00/OW), MediaTek Inc.(2454.TW/NT\$4,210.00/OW)

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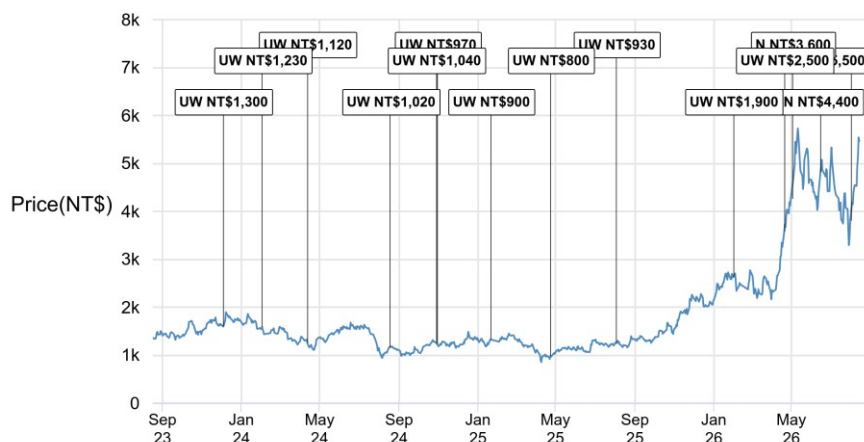
Alchip Technologies (3661.TW, 3661 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
05-Dec-23	OW	3110.00	3,800
31-Jan-24	OW	3835.00	4,300
01-Mar-24	OW	4140.00	4,600
12-Apr-24	OW	3015.00	3,300
27-Sep-24	OW	2000.00	3,000
16-Dec-24	OW	2900.00	4,800
12-May-25	OW	2300.00	3,300
14-Aug-25	OW	4120.00	4,750
08-Mar-26	OW	3310.00	4,700
10-May-26	OW	4890.00	6,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 05, 2023. All share prices are as of market close on the previous business day.

GUC (3443.TW, 3443 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
05-Dec-23	UW	1595.00	1,300
03-Feb-24	UW	1590.00	1,230
13-Apr-24	UW	1255.00	1,120
19-Aug-24	UW	1155.00	1,020
29-Oct-24	UW	1260.00	1,040
31-Oct-24	UW	1235.00	970
22-Jan-25	UW	1330.00	900
24-Apr-25	UW	980.00	800
04-Aug-25	UW	1255.00	930
01-Feb-26	UW	2620.00	1,900
21-Apr-26	UW	3580.00	2,500
04-May-26	N	4260.00	3,600
16-Jun-26	N	4815.00	4,400
02-Aug-26	OW	3805.00	5,500

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 05, 2023. All share prices are as of market close on the previous business day.

MediaTek Inc. (2454.TW, 2454 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 22, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
17-Oct-23	N	840.00	780
29-Oct-23	N	801.00	750
05-Jan-24	N	928.00	800
01-Feb-24	N	966.00	880
11-Apr-24	N	1195.00	1,050
28-Apr-24	N	1005.00	1,060
29-Jul-24	N	1245.00	1,050
01-Aug-24	N	1220.00	1,150
22-Oct-24	N	1330.00	1,175
31-Oct-24	N	1290.00	1,180
05-Feb-25	N	1490.00	1,275
27-Apr-25	N	1380.00	1,350
16-Jun-25	N	1250.00	1,300
25-Nov-25	N	1150.00	1,260
28-Jan-26	N	1775.00	1,525
05-Feb-26	N	1800.00	1,600
30-Apr-26	OW	2575.00	3,400
31-May-26	OW	4310.00	5,300

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